

(125) Payroll Accounting

Description & Eligibility

Process payroll data using manual payroll procedures. Contestants calculate earnings, complete payroll registers, update employee records, journalize payroll entries, and prepare payroll income tax forms. Any postsecondary or secondary division contestant may enter this application event.

Contestant Must Supply

- Published and/or unpublished non-electronic written reference materials
- Sharpened pencils, pens, ruler
- Cordless calculator: Electronic devices will be monitored according to ACT standards. See NLC Calculator Guidelines. Contestants who violate this rule will be *disqualified*.
- **NOTE:** Circular E, Employer's Tax Guide (Publication 15), is recommended as a resource.
<https://www.irs.gov/publications/p15>

Equipment/Supplies Provided

- Computer and software

Competition Notes

- Method of evaluation: objective | application.
- No equipment, supplies, or materials other than those specified for an event will be allowed in the testing area.
- Previous Business Professionals of America tests and/or sample tests or facsimiles (handwritten, photocopied or keyed) may not be taken into the testing area. **Violation of this rule will result in disqualification.**
- Length of event: no more than ten (10) minutes for orientation, no more than sixty (60) minutes for testing, and no more than ten (10) minutes for wrap-up.
- Entries vary by state.

Contest Competencies

- Apply generally accepted accounting principles (GAAP)
- Apply appropriate accounting principles to payroll and income taxation
- Complete new employee personnel forms
- Apply various methods used to determine gross earnings
- Explain the purpose of withholdings and other deductions
- Create and maintain employee earnings records
- Calculate hourly, overtime, piece rate, salaried, commission, and salary/commission earnings
- Calculate employer's payroll taxes as well as other employee benefits paid by the employer
- Prepare federal payroll reports
- Identify laws and regulations relating to payroll procedures
- Record in a journal and post transactions associated with payroll activities
- Create and maintain employee earnings records
- Generate payroll checks, prepare payroll tax deposits, and complete a payroll register
- Analyze IRS tax forms